

... BUT THERE ARE CHALLENGES



- ① Huge disparity between states; Maharashtra, Gujarat, and Tamil Nadu account for 40 per cent of total net value
- ② 60 per cent of the states together contribute only about 20 per cent to overall net value
- ③ Half of the states do not have operational SEZs
- ④ Indonesia's output is twice that of India; China and South Korea are four times bigger
- ⑤ India has 2,000 compliances, compared with 300-500 in comparable Asian economies

THE WAY AHEAD



- ① Developing employee capability-building programmes
- ② Partnering with domestic technology firms
- ③ Digitising end-to-end value chains
- ④ Manufacturers in the sustainability space could help India become a global green manufacturing capital
- ⑤ Expand PLI schemes; simplify compliance requirements

SOURCE: MCKINSEY-FICCI REPORT

is looking at manufacturing now. "Some momentum was lost during the IT boom and a lot of qualified manufacturing talent preferred to go to the Middle-east," he says. But with each phase of growth, the way in which manufacturing is perceived changes. "Now, with Industry 4.0 (the operation of machinery with tech connected through the internet), 5G and other advancements, the next few years will be hugely exciting."

It is a sentiment shared by all stakeholders remotely linked to manufacturing. A focus on digitisation or tech is not a five- or a seven-year plan. "It needs to take place today. There are clear signals that Industrial Revolution 4.0 or 5.0 will go hand in hand with the digital and tech revolution. We will need to master the disruptions and learn to go into the future with agility and resilience," says Vyankatesh Kulkarni, Executive Director and Head of Operations at Mercedes-Benz India. For a company that has manufacturing locations around the globe, he is well-positioned to speak on the China-plus one theme that has gained prominence recently. "There are other economies as well that offer opportunities, but India has the potential to emerge as a responsible industrial country and position itself as a competitive alternative. It is important to understand that China-plus one does not mean China-plus India," says Kulkarni, adding, if many countries around the world have shown cyclic or

segment-specific growth, India's pace has largely remained steady and stable. He attributes the trend to investments in education and skilling, among other areas.

As much as manufacturing has the makings of a robust story, the policy initiatives introduced in recent times—such as the production-linked incentive scheme (PLI)—are just as critical. UltraTech's Jhanwar refers to the National Logistics Policy 2022 that has a focus on reducing costs by 4 per cent of the GDP. "That will help catalyse both efficiency and scale. Already, with India's net-zero commitment by 2070, we are seeing a shift with 40 per cent of installed capacity coming from renewable energy. Today, India is one of the global leaders in solar generation capacity," he says.

IT IS THE scale of ambition that will determine manufacturing in 2047. Globally, the situation is conducive for the country. Europe is in a state of flux while China is dealing with its own issues. India, meanwhile, will need to shift into top gear. Ramchandani, while pointing out the huge strategic advantage available due to our large population and demographics, says a significant improvement in the skilling process is absolutely necessary. Being in the thick of things will be a key factor.

The comparison to China or other Asian markets is